

CURRENT AFFAIRS



18th WEEK 2017

UPSC

CAPSULE - 2

ALL EXAMS

1st May to 7th May



GENESIS OF THE ISSUE



- 1 The BRI originated from two speeches by the President Xi Jinping in Central Asia in 2013.
- 2 The outline plans for China's **global outreach through connectivity** and infrastructure development.
- 3 On March 17, this year, the United Nations Security Council(UNSC) adopted a resolution on security in Afghanistan.
- 4 The above resolution includes a reference to regional development initiatives such as the **China's BRI**.
- 5 China promptly announced that this reference (probably inserted at its instance) reflected a global consensus on the BRI.
- 6 China is going to host BRI Summit in May 2017.
- 7 The declared purpose is to review the progress of BRI and obtain perspectives of stake holders and plan new trajectories for cooperation.



BRI IN DETAIL



1

SILK ROAD - ECONOMIC BELT

It includes land corridors from China through Central Asia and Russia to Europe, which include spurs to West Asia and to Pakistan, i.e CPEC.

2

21st CENTURY MARITIME SILK ROAD

It links China's east coast through major sea lanes to Europe in the west and Pacific in the east.

*Together they constitute BRI or Belt and Road Initiative.
Originally the name was One Belt and One Road.*



WHAT ARE CHINESE REAL REASONS BEHIND BRI?



- 1 It created excess capacity in manufacturing and construction industries and it requires markets for utilizing it.



WHAT ARE CHINESE REAL REASONS BEHIND BRI?



2

Increasing economic activity in the less developed western region and China thought it is possible with BRI.



WHAT ARE CHINESE REAL REASONS BEHIND BRI?



3

Creating alternative energy supply routes to the choke points of the straits of the Hormuz and Malacca through which almost entire China's maritime oil imports pass.



Bay of Bengal

South China Sea

CAMBODIA

Gulf of Thailand

MALACCA STRAIT

MALAYSIA

INDONESIA

INDONESIA

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WHAT ARE CHINESE REAL REASONS BEHIND BRI?



- 4 Strengthening Chinese influence over swathes of Asia and Africa so as to become a maritime power.



WHAT ARE CHINESE REAL REASONS BEHIND BRI?



THE WORLD BANK



5

Developing financing structures parallel to Bretton Woods system and eventually competing with them.



ASIAN INFRASTRUCTURE
INVESTMENT BANK



New
Development
Bank



WHAT ARE CHINESE REAL REASONS BEHIND BRI?



6

This fits into the multiple objectives of economic, developmental and geo-political motives.



It is the most ambitious global infrastructure project ever envisaged by one country.



THE GROUND REALITY WHICH IS SUITING THE OBJECTIVES OF CHINA



- 1 Connectivity and infrastructure development are unexceptionable objectives for any growing country.
- 2 Most of the countries in Asia/Africa are either under developed countries or developing countries.
- 3 Some of the Asian countries and African countries also need finance, because they are not able to manage on their own.
- 4 The countries are not able to identify the designs of china properly and the case-in-point is the general perception of several countries in Africa that China is exploiting them with commodity imports.
- 5 Sri Lankan Hambantota port is a classic example, where the country is not in a position to pay back its debt.

However, as the Asian as well as African countries are in dire need for finance, it overrides all other considerations. Hence, now several countries are not critically analysing the initiative of China.



BRI CONCLAVE IN MAY 2017



- 1 As of April 21, China confirmed attendance of 28 Heads of State and Government at BRI Summit.
- 2 They include leaders of Russia, Turkey, Pakistan, Sri Lanka, Myanmar and Indonesia.
- 3 Countries like US, Germany, France, UK are not going to be represented.
- 4 Only two countries signed so far each from South Asia, Central Asia and Africa.

China says, India is isolating itself by staying out.



WHAT CHINA WANTS TO CONVEY THROUGH BRI SUMMIT?



- 1 China wants to showcase that high-level global attendance at BRI Summit will be de facto endorsement for the programme.
- 2 Whatever the overall objectives of China, the principle role of the forum will endorse President's strategic vision of economic cooperation for peace.
- 3 The President Xi Jinping can carry the aura of the global recognition into 19th Nationalist Congress of Chinese Communist Party later this year, where he will put his policy stamp on his second term as General Secretary.



CAN CHINA ADDRESS INDIA'S GENUINE CONCERNS?



Xi Jinping,
President of China



Narendra Modi
Prime Minister of India

ALREADY PROBLEMATIC ISSUES

- China's position on NSG.
- Arunachal Pradesh issue.
- Masood Azhar issue
- Stapled visas
- Objection to Dalai Lama's visit
- Changing the maps/ names of the places showing Arunachal Pradesh as part of China.



CAN CHINA ADDRESS INDIA'S GENUINE CONCERNS?



- 1** Can China declare that CPEC is not a component of BRI but, a separate China Pakistan bilateral project.
- 2** Once the status of Gilgit-Baltistan is agreed upon bilaterally between India and Pakistan, can China renegotiate with the sovereign authority in terms of the transit of the corridor?
- 3** Can China prevail over Pakistan, to include India-Afghanistan land corridor through Pakistan in the BRI?
 - This will immensely benefit, Central Asia, China and entire region will be prospered.
 - This move can transform into a commercially viable project also.





Indian government can put forth alternative ideas like diverting CPEC or asking for the corridor connecting Central Asia through Pakistan and Afghanistan.

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